

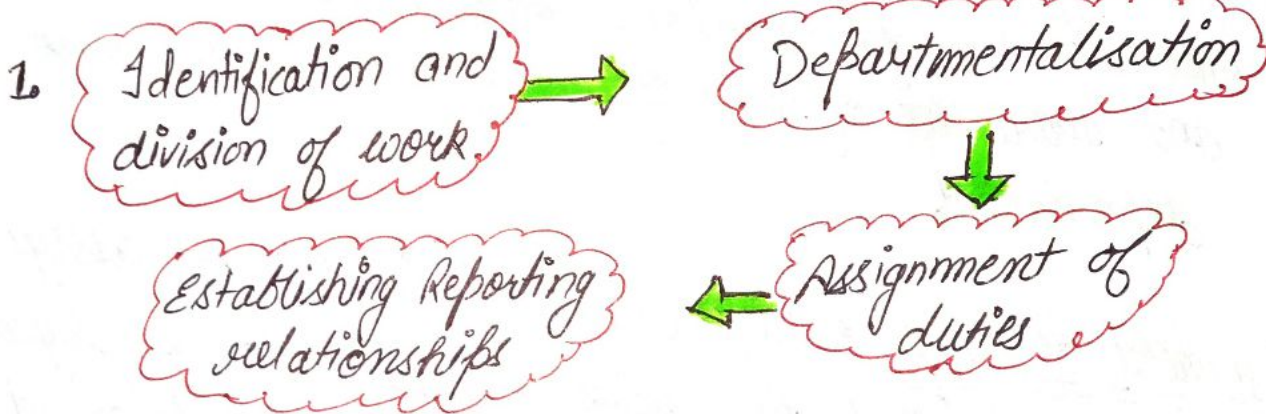
- Chap - 5 • • • • • Organising • • • • •

Meaning



• Organising refers to arranging everything in orderly form and making most efficient use of resources.

Organising Process



1. Identification and division of work ⇒ This function begins with the division of total work into smaller units. Each unit of total work is called a job and one person in an organisation must assign only one job matching to his skills, qualifications, expertise, interest and experience. It leads to specialisation.
2. Departmentalisation ⇒ Here jobs of similar category are put under one department. Common way of departmentalisation are.

2.1 → Functional departmentation ⇒ under this method jobs related to common function are grouped under one department. Eg. all the jobs related to production are grouped under production department, similarly jobs related to sales are grouped under sales department & so on.

2.2 → Divisional department ⇒ under this method jobs related to one product are grouped under one department. Eg. If an organisation is producing cosmetics, textile and medicine then jobs related to production, sales and marketing of cosmetics are grouped under one department.

3. Assignment of Duties ⇒ Here different individuals are assigned duties matching to his skills & qualification. Employees are assigned duties by giving them a document called job description. It contains the responsibilities and duties toward the job.

4. Establishing Reporting Relationship ⇒ To perform the assigned job by the managers, individuals need some authority. So, in fourth step of organising all the individuals are assigned some authority matching to the responsibility. This leads to creation of superior-subordinate relationship. The individual having higher authority becomes the superior and with less authority becomes subordinate.

Here monogerial hierarchy gets created and principle of scalar chain follows this hierachy.

Importance of Organising

- (i) Benefits in specialisation $\Rightarrow$ Due to division of work each individual is specialised in his work.
- (ii) Role clarity $\Rightarrow$ In organising function, individuals are assigned job responsibility and authority so, the role of every monager is clear.
- (iii) Optimum utilisation of resources $\Rightarrow$ In organising function, there are very few chances of duplication of work. every individual is specialised about their work hence resources are utilised carefully without any wastage.
- (iv) Co-ordination $\Rightarrow$ In an organisation, every department is linked with other department hence members of each department co-ordinates with other departments.
- (v) Expansion and growth $\Rightarrow$ with optimum utilisation of resources & proper division of work companies can easily meet the challenges & can expand their business easily.

← ORGANISATIONAL STRUCTURE →

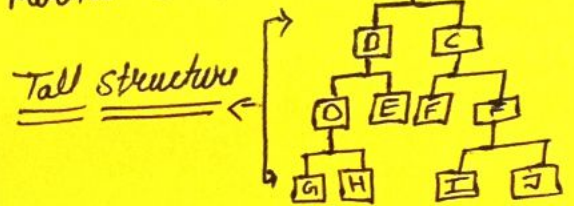
- when managers are performing organising function an organisational structure gets created automatically which defines the job positions, the authority & responsibility of different employees.

- It specifies the relation between people, work and resources

- Narrow span of management vs wide span of management is flat

Narrow span → Boss ← [A] - superior

Tall structure



wide span → [A] - superior/Boss



Flat structure

- Span of Management → It means howordinates can be effectively

Types of organisational structure

- Functional structure
- Divisional structure.

← Functional structure →

- when jobs related to common function are grouped under one department, this type of organisational structure is called functional structure.
- Functional structure is suitable for one type of product manufacturing company.

Advantages ... →

- ① Specialisation → When the activities are classified as per the skills and qualifications, and activities related to same function are grouped under same department, it leads to specialisation.
- ② Easy supervision → The supervisor becomes familiar with the type of task to be performed because all the tasks are related to one function only. As a result he can easily supervise and guide employees.
- ③ Easy Coordination → All the departments are inter-dependent on each other, function of one department depends on other department so, it leads to easy co-ordination.
Eg → Production department depends upon purchase department for raw material.
- ④ It helps in managerial efficiency → Managers of one department are performing some type of function again and again which makes them specialised and improve their efficiency.
- ⑤ Effective Training → It makes training of the employees more easy as they are trained to in limited types of skills. i.e. employees of production department are given training of production technique only.

Disadvantages →

- (i) The departments become specialised in their own way only. They fail to see the prospectus of whole organisation as a single organisational goal can't achieve.
- (ii) When departments become too large then co-ordination decreases and there is delay in decision.
- (iii) The departmental head start thinking about their department. This leads to conflicts among various departments.
- (iv) When organisational goal is not achieved it becomes very difficult to make any department accountable for this because all departments are inter-related.
- (v) In functional structure employees get training of one function only. He is not able to perform any other function.
i.e., Inflexibility occurs.

← Divisional structure →

- under this structure jobs related to one product are grouped under one department.
- Divisional structure is suitable for large size organisational producing more than one product.

Advantages →

- (1) Product specialisation → All the activities related to one type of product are grouped under one department. This leads to product specialisation.
- (2) Fast decision making → One product has one department so it takes less time in decision making because there is no interference in other department.
- (3) Accountability → You can easily fix accountability in divisional answerable structure. How performance of individual department can easily assessed.
- (4) Flexibility → Employees of one department can do different functions within the department.
- (5) Expansion and growth → New product can easily introduced by addition of new department. without affecting other departments.

Disadvantages →

- (i) Each department focuses on their product only the fail to see prospects of whole organisation.
- (ii) Conflicts on addition of resources among different departments.
- (iii) Divisional structure requires huge capital.

Types of Organisation →

i) Formal Organisation

ii) Informal Organisation

(1) Formal Organisation →

- It refers to org. structure that is designed by the management to accomplish organisational objectives.
- It specifies clearly the boundaries of authority & responsibility and there is a systematic coordination among the various activities to achieve organisational goals.

→ Louis Allen → System of well defined jobs, each bearing a definite measure of authority responsibility & authority

... Features ÷

- i) It is deliberately created by the top management.
- ii) It is based on rules and procedures which are in written form.
- iii) It is impersonal i.e., does not take into consideration emotional aspect.
- iv) It clearly defines the authority and responsibility of every individual.
- v) It is created to achieve organisational objectives.

Advantages→

- 1) Easier to fix responsibility since mutual relationships are clearly defined.
- 2) No overlapping of work - because things move according to a definite plan.
- 3) Unity of command through an established chain of command.
- 4) Easy to achieve objectives - because coordination and optimum use of human and material resources.
- 5) Stability in the organisation - because behaviour of employees can be fairly predicted since there are specific rules to guide them.

Disadvantages→

- 1) The work is based on rules which cause unnecessary delays.
- 2) Lack of initiative - The employees have to do what they are told to do and they have no opportunity of thinking.
- 3) Limited in scope - It is difficult to understand all human relationships in an enterprise as it places more emphasis on structure and work.

2) Informal Organisation →

- An informal organisation is that organisation which is not established deliberately but comes into existence because of common interest, taste and religious and communal relations. The main purpose of this organisation, structure is getting physiological satisfaction. For e.g. → employees with similar interest in sports, films, religion etc. may form their own informal groups.

.. Features . . . :

- 1) It originates from within the formal organisation as a result of personal interaction among employees.
- 2) It has not written rules & procedures.
- 3) It does not have fixed times of communication.
- 4) It is not deliberately created by the management.
- 5) It is personal means the feelings of individuals are kept in mind.

Advantages ... →

- 1) Speed : prescribed lines of communication are not followed which leads to faster spread of information.
- 2) Fulfilment of social needs : enhances job satisfaction which gives them a sense of belongingness in the organisation.
- 3) Quick solutions of the problems → because the subordinates can speak without hesitation before the officers, it helps the officers to understand the problems of their subordinates.

Disadvantages

- 1) It creates rumours → All the persons in an informal org. talk carelessly and sometimes a wrong thing is conveyed to other person.
- 2) It resists change and lays stress on adopting the old techniques.
- 3) Priority of group interest → pressurize members to conform group expectations.

← DELIGATION OF AUTHORITY →

Meaning.

- It means the granting of authority to subordinates to operate within the prescribed limits. The manager who delegates authority holds his subordinates responsible for proper performance of the assigned task. To make sure that his sub-ordinates perform all the works effectively and efficiently in expected manner the manager creates accountability.

Brouss | Elements of Delegation.

- 1) Authority → The power to taking decisions in order to guide the activities of other. Authority is that power which influences the conduct of others.
- 2) Responsibility → It is the obligation of a sub-ordinates to properly perform the assigned duty. When a superior issues orders, it becomes the responsibility of the sub-ordinates to carry it out.
- 3) Accountability → When a superior assign some work to a sub-ordinate, he is answerable to his superior for its success or failure.

Principle of Absoluteness of Accountability

- Authority can be delegated but responsibility/accountability can not be delegated by a manager. The authority granted to a sub-ordinate can be taken back and re-delegated to another person. The manager cannot escape from the responsibility for any default or mistake on the part of his sub-ordinates.
- For Example → If the chief executive asks marketing manager to achieve a sales target of sale of 100 units/day. The marketing manager delegates this task to deputy sales manager, who fails to achieve the target. The Marketing managers will be answerable for the work performance of his sub-ordinates. Thus, accountability is always of the person who delegates authority.



- Importance of the Delegation of Authority -

- 1] Reduction of Executives' work load $\Rightarrow$ It reduces the work load of officers. They can trust utilize their time in more important and creative works instead of work of daily routine.
- 2] Employees Development $\Rightarrow$ Employees get more opportunities to utilize their talent which allows them to develop those skills which enable them to perform complex tasks.
- 3] Quick and better decisions are possible $\Rightarrow$ The sub-ordinates are granted sufficient authority so, they need not to go to their superiors for taking decisions concerning the routine matters.
- 4] High Morale of Sub-ordinates $\Rightarrow$ Because of Delegation of authority to the sub-ordinates they get an opportunity to display their efficiency and capacity.

5) Better co-ordination $\Rightarrow$ The element of delegation - authority, responsibility and accountability help to define the powers, duties and answer ability related to various job positions which results in developing and maintaining effective coordination.

Decentralization

- $\Rightarrow$ Decentralisation of authority means dispersal of authority to take decisions throughout the org. upto the lower levels.
- $\Rightarrow$ It implies reservation of some authority with the top level management and transferring rest of authority to lower level of org. This empowers lower level to take decisions regarding problem faced by them without having to go to the upper levels.

According to Allen - 'Decentralisation refers to systematic efforts to delegate to the lowest level, all authority except the one which can be exercised at central points.'

Importance of decentralisation

- 1) Develop initiative amongst subordinates → It helps to promote confidence because the sub-ordinates are given freedom to take their own decisions.
- 2) Quick & better decisions → The burden of managerial decisions does not lie in the hands of few individuals but get divided among various persons which helps them to take better and quick decisions.
- 3) Relieves the top executives from excess workload → The daily managerial works are assigned to the sub-ordinates which leaves enough time with the superiors which they can utilize in developing new strategies.
- 4) Managerial Development → It means giving authority to the sub-ordinates up to the lower level to take decisions regarding their work. In this way the opportunity to take decisions helps in the development of the orgo.
- 5) Better Control → It makes it possible to evaluate performance at each level which results in complete control over the all activities.

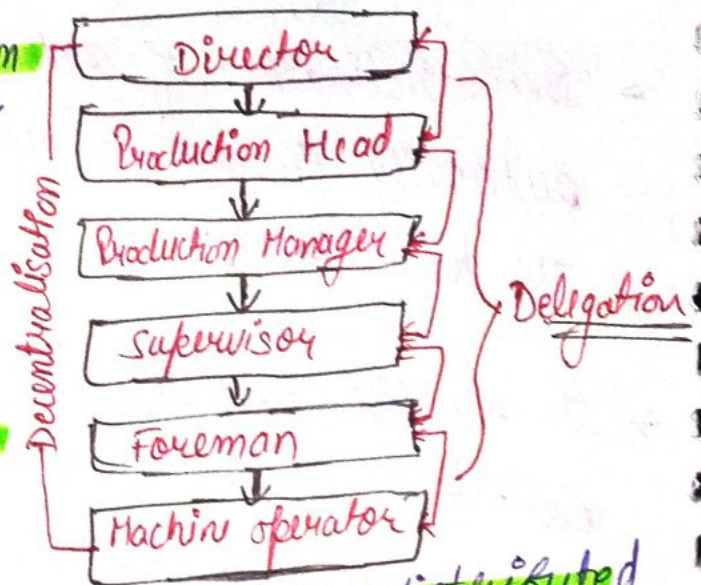
Centralisation

→ It refers to concentration of power or authority in few hands, i.e., top level. An organisation is centralised when decision-making authority is in the hands of top level management only.

Decentralisation - An extension of Delegation.

Both decentralisation and delegation relate to downward delegation of authority and responsibility. While authority is shared just b/w the superior and the immediate subordinate, under delegation, this concept is extended further

under decentralisation, and the authority is distributed to multiple levels. In other words, while delegation involves just two persons, i.e., the superior and the sub-ordinate, decentralisation is a wider concept of delegation where power is transferred to numerous levels.



→ Organising ←

It refers to the process of identifying and grouping various activities bringing together physical, financial & human resources and other necessary resources.

Importance

- specialisation
- Role clarity
- optimum utilisation of resource
- Co-ordination
- Expansion & growth
- Adoption to change

Process

- Identification & division of work
- Departmentalisation
- Assignment of duties
- Establishing reporting Relationship.

Structure of organisation

Span of management
means How many employees
be effectively managed by
one superior

Functional structure.

- activities are grouped together one department acc. to nature of function.

Divisional structure.

- activities are grouped together on basis of diff. product.

Advantage

- specialisation
- Easy supervision
- Easy co-ordination
- Managerial efficiency
- effective training.

disadvantage.

- Narrow concept
- Decrease in coordination
- leads to conflicts among various department.
- less accountability
- Inflexibility.

Advantages

- Product specialisation
- Fast decision making
- Accountability
- Flexibility
- Expansion & growth

Disadvantages

- Duplication of efforts
- Requires huge capital
- conflicts on allocation of resources.

Delegation

- It is process of sharing responsibility b/w superior & subordinates

Elements

- Responsibility
- Authority
- Accountability

Importance

- efficient management
- employees development
- Motivation of employees
- Better coordination

Decentralisation

- refers to systematic delegation of authority at all levels of management.

Importance

- Facilitates growth
- Relief to top level mngy.
- Better control
- Quick decision making
- Develop initiative among subordinates.